

January 24, 2022

Business Performance Picks Up

CSB Bank reported its Q3FY22 performance which beat our estimates on the profitability front mainly due to strong reversal in asset quality, which led to Rs 516 mn write back in provisions. However, operating profit was adversely impacted by lower treasury income and PSLC commission pay-out.

- **NII came in at INR 3033 Mn, +9.0% QoQ / +20.8% YoY**
- **Other Income came in at INR 3555 Mn, + 5.1% QoQ / -7.1% YoY**
- **PPOP came in at INR 1476 Mn, -25.2% QoQ / -1.2% YoY**
- **Provisions came in at INR -506 Mn, INR -91 Mn QoQ / INR 1263 Mn YoY**
- **PAT came in at INR 1483 Mn, +25% QoQ / +179% YoY**
- **EPS stood at INR 8.6 vs INR 6.8 / INR 3.1 in Q2FY22 / Q3FY21 respectively.**

Financial Highlights

- Bank's asset quality improved during the quarter, with GNPA's sequentially down by 149 bps at 2.62% and NNPA's down by 127 bps to 1.36%. During Q3FY22, Bank is able to contain both gold & non-gold NPAs, with slippages stood at Rs 0.81 Bn (0.6% of advances) vs Rs 2.05 Bn (1.5% of advances) QoQ. PCR increased to 48.6% in Q3FY22 vs 36.9% QoQ. GNPA and NNPA excluding gold loans stood at 1.87% and 0.85% respectively.
- NII which was in line with our expectation, supported by spread and volume effects combined with impressive interest income recoveries on gold loan NPAs. However, operational efficiency deteriorated during the quarter, with cost to income ratio stood at 58.49% (+266 bps QoQ), backed by higher opex growth of 10% QoQ vs net income (NII + other income) growth of 5.1% QoQ in Q3FY22.
- Other income, which declined by 60% YoY/13% QoQ, was adversely impacted by a dip in the treasury income to Rs 15 Mn vs Rs 819 Mn in Q3FY21. PSLC premium had a total negative impact of Rs 330 Mn on the operating profit, with other income down by Rs 209 Mn and other opex up by Rs 120 Mn. Commission income up by 38% QoQ / 68% YoY, supported by increase in Baccasurance income & LC/BG commission.

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
NII	5.9	9.4	11.4	13.3
Net profit	0.1	2.2	3.5	4.2
Networth	19.6	21.8	25.3	29.5
EPS (Rs)	0.7	12.6	20.1	24.3
P/E (x)	334	19	12	10
P/Adj BV (x)	2.4	2.1	1.8	1.5
RoA (%)	0.1	1.0	1.4	1.4
RoE (%)	0.8	10.5	14.8	15.4

Source: Dalal & Broacha Research, Company

Rating	TP (Rs)	Up/Dn (%)
BUY	316	30

Market data

Current price	Rs	243
Market Cap (Rs.Bn)	(Rs Bn)	42
Market Cap (US\$ Mn)	(US\$ Mn)	565
Face Value	Rs	10
52 Weeks High/Low	Rs	374 / 214
Average Daily Volume	('000)	123
BSE Code		542867
Bloomberg		CSBBANK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	49.72	49.72
Public	47.39	47.39
Othres	2.88	2.88
Total	100	100

Source: BSE

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- Advances stood at Rs 156.10 Bn (11.1% YoY/3.7% QoQ), driven on a sequential basis by Gold Loans (6.7% QoQ), SME loans (2.5% QoQ), Assignment Loans (+4.5% QoQ), and Agri loans (+22.6% QoQ). However, the retail loans and LCBD & TReDS loans declined by 2.3% QoQ and 8.1% QoQ respectively.
- On the liability side, deposits stood at Rs 190.56 Bn (7.3% YoY/ flat QoQ). Bank reported 22% YoY/6% QoQ growth in CASA deposits in Q3FY22; taking CASA ratio to 34.6% in Q3FY22 (vs 30.4% YoY/32.6% QoQ).

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Valuation and outlook

We remain positive on the stock given its favorable loan mix, sustained margins, and comfortable liquidity position. Besides, strong liability franchise, decline in credit costs, adequate capitalization, and healthy provision buffer add to positivity. We expect the bank's RoA/RoE to be around 1.4%/14.8% in FY22 and improved to 1.4%/15.4% in FY23. At CMP the stock trades at 1.8x its FY22E ABV and 1.5x its FY23E ABV. We assign BUY rating with a Target Price of Rs 316/share, valuing the stock at a target multiple of 2x FY23E ABV.

Financials

Rs Mn	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Interest Earned	4826	4971	4953	4959	5277
Interest Expended	2314	2214	2275	2175	2243
NII	2512	2757	2678	2784	3033
Other Income	1314	1123	712	598	522
Net Income	3826	3880	3390	3382	3555
Opex	1854	2591	1643	1888	2080
PPOP	1972	1290	1747	1494	1476
Provisions	1263	710	932	-91	-506
PBT	709	580	815	1585	1981
Tax	178	151	205	399	499
PAT	531	429	610	1186	1483
Balance Sheet					
Net-worth	21366	21802	22430	23635	25137
Deposits	177530	191400	186528	190555	190560
Advances	131373	144381	138172	140701	146370
Growth (%)					
NII	61.8	75.0	44.5	21.4	20.8
PPOP	181.6	20.5	35.4	25.5	-25.2
PAT	88.5	-171.9	13.9	72.1	179.5
Deposits	16.5	21.2	14.2	9.1	7.3
Advances	21.6	27.0	23.1	12.2	11.4
Efficiency (%)					
GNPA	1.8	2.7	4.9	4.1	2.6
NNPA	0.7	1.2	3.2	2.6	1.4
PCR	61.9	57.1	35.4	36.9	48.6
C/I Ratio	48.5	66.8	48.5	55.8	58.5
CASA	30.4	32.2	33.1	32.6	34.6
Yields, Cost of Deposits & NIM					
Yield on Advances	11.0	11.3	10.6	11.4	11.6
Cost of Deposits	4.9	4.8	4.5	4.3	4.2
NIM	5.2	5.4	5.1	5.2	5.5

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	15.10	18.72	22.02	26.26
Interest expense	9.18	9.31	10.62	12.98
NII	5.92	9.41	11.40	13.28
Non-interest income	2.22	4.01	3.01	4.31
Net revenues	8.14	13.42	14.41	17.59
Operating expenses	5.33	7.29	8.32	9.43
PPOP	2.81	6.13	6.09	8.16
Provisions	1.47	3.21	1.43	2.52
PBT	1.34	2.93	4.67	5.64
Tax	1.21	0.74	1.18	1.42
PAT	0.13	2.18	3.49	4.22

Balance sheet	FY20	FY21	FY22	FY23
Share capital	1.74	1.74	1.73	1.73
Reserves & surplus	17.87	20.07	23.56	27.77
Net worth	19.61	21.80	25.29	29.51
Deposits	157.91	191.40	227.93	274.63
Borrowings	7.94	14.26	11.53	8.81
Other liability	3.19	5.91	5.78	6.72
Total liabilities	188.64	233.37	270.53	319.67
Fixed assets	2.53	2.69	2.90	3.11
Investments	53.60	61.26	73.34	86.32
Loans	113.66	144.38	165.62	205.12
Cash	9.39	17.14	19.85	15.93
Other assets	9.45	7.90	8.81	9.18
Total assets	188.64	233.37	270.53	319.67

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	35	59	21	16
PPOP	2000	119	-1	34
PAT	-106	1616	60	21
Advances	7.1	27	15	24
Deposits	4.4	21	19	20
Spread (%)				
Yield on Funds	9.1	9.4	9.1	9.3
Cost of Funds	5.8	5.0	4.8	5.0
Spread	3.3	4.4	4.4	4.3
NIM	3.6	4.7	4.7	4.7
Asset quality (%)				
Gross NPAs	3.5	2.7	2.6	2.2
Net NPAs	1.9	1.2	1.1	1.0
Provisions	46	56	58	55
Return ratios (%)				
RoE	0.8	10.5	14.8	15.4
RoA	0.1	1.0	1.4	1.4
Per share (Rs)				
EPS	0.7	13	20	24
BV	113	126	146	170
ABV	100	116	135	158
Valuation (x)				
P/E	334	19	12	10
P/BV	2.2	1.9	1.7	1.4
P/ABV	2.4	2.1	1.8	1.5

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